The operations management strategies for Apple & Qantas play a key role in maintaining efficiency & competitive advantage. The implementation of New product design & Outsourcing saw by Apple in 2015 saw the company rise to an asset value of ~~$321~~ 234 billion whilst global Factors for Qantas within 2018 attributed to a revenue of $1.6 billion (Earnings before interest & tax.)

New Product Design: ~~&~~ APPLE

Apple's constant reciprocation of new and leading edge technology to society is greatly influenced by improved Technology. The improvement in processing power & miniturisation of electronics allows Apple to constantly reproduce excellent technology to maintain a competitive advantage. The development of the Apple Watch in 2015/2016 was instrum

in company growth that year. Apple assigned a dedicated team of Engineers within Shenzhen, China to: ① Conduct market research ② Produce concepts & designs. ③ Begin prototypes ④ Suggest alterations ⑤ Manage product launch & distribution.

The systematic & efficient way of producing this new product allowed for a clean launch in early 2016. The Apple Watch within the first quarter seized market share to 25%, reducing Samsung's from 75.3% to 7%. In addition to this, the Apple Watch alone sold 8 million units in 2016, posting a revenue of $1 billion for Apple. This consequently boosted the companies asset value to $234 billion that year. The integration of the Apple Smart Watch was an extremely effective use of the

Strategy "New Product Design" improving the overall marketshare of Apple whilst allowing them to successfully penetrate a new market ~~to~~ sustain competitive advan

Global Factors: QANTAS.

The influences of legal regulations ~~upon~~ the business of Qantas has led them to delve into the Global Factors strategy, relying on Economies of Scale, Global Sourcing & Scanning & Learning to reduce costs. The Fairwork Act of 2009 ~~rose~~ increased wages & salaries through the introduction of awards. The increased costs resulted in Qantas hiring 120 pilots from New Zealand, already trained in the Boeing 737. This allowed for the new f a reduction of training ~~costs~~, reducing the average of $500 million on training costs per year. In

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addition to this, the companies utilisation of it's size allows it to have dramatic cost savings in a number of areas. ~~The~~ This size allows Qantas to seek alliances such as the ~~Oneworld~~ Emirates Alliance (2011) & the Open Skies Agreement of (2008). The ~~Oneworld~~ Emirates alliance is an agreement with Emirates, in which Qantas transfers its passengers onto Emirates flights when travelling to Europe. This prevents Qantas from having to source ~~newer & more~~ more planes to deal with capacity.* ① → see book 2. Finally, the Scanning & Learning aspect ~~strategy~~ allows Qantas the constantly ~~maintain a~~ improve its Operations. The integration of new technologies such as Amadeus (its new online reservation system) were acquired from observing the technology of others. Scanning & Learning. This constant research in conjunction

~~allowed~~ with the Global Sourcing & Economies of Scale resulted in ~~$~~ savings of $2.1 billion over the last three years. The reduction of training costs, ~~operations inputs~~ and general operation costs induced by Global Factors was extremely successfully boosting shares by 7% to 6.06 AUD, and increasing domestic marketshare to 60% in 2018. ~~This~~ The strategy of Global Factors is critical for Qantas to maintain a competitive advantage in being extremely effective.

Outsourcing: APPLE

The utilisation of outsourcing ~~has~~ resulted in by Apple has been induced by cost-based competition with companies like Xiaomi & Huawei providing quality phones for budget prices. This consequently led Apple

to outsource majority of its production to Foxconn within China. ~~This~~ Foxconn is responsible for the manufacture of 40% of all consumer electronics leaving China. This capacity results in whole towns, such as Zhengzhou, being employed by these factories. The large facilities ~~& high capacity of~~ employ 200,000 people overseas resulting in the high capacity output. This allows Apple to indirectly achieve economies of scale lowering the unit price of the new iPhone ~~6~~ X to $370.25 USD, allowing a markup of $629.75. This outsourcing strategy according to Forbes has saved Apple over $4.2 billion within 2017, extremely high savings. This great advantage of cost-savings was ~~to some~~ severly impacted, with the develop-

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of the suicides at the Foxconn factory with Zhengzhou. The 22 attempts & 18 deaths resulted in society bringing into question the ethical attitudes of Apple severely damaging their reputation. ~~Although~~ Outsourcing ~~is~~ allowed Apple shares to peak at $222. USD within October of this year by providing dramatic cost savings. ~~This revenue of~~ In addition the ~~$52.4 billion within 2018 was~~ ~~was maximised through outsourcing~~ however, ~~the ethical behaviour by~~ ~~Apple was seriously questioned~~ ~~damaging its reputation~~. In this light, the operational strategy of Outsourcing was ~~extremely~~ effective in cost saving providing revenue of ($52.4 billion in 2017) ; however it was ~~not very~~ horrific in regards to social image & Corporate Social responsibility.

The ~~factor~~ operations management strategies of New Product Design,

SEE BOOK 2

You may ask for an extra Writing Booklet if you need more space.

Global Factors & Outsourcing induced dramatic cost & savings for both Qantas & Apple, successfully allowing them to sustain a competitive advantage.

*(2) The Open Skies Agreement in (2008) allowed for Qantas to open its destinations to the U.S. successfully reaching an agreement with American Airlines to join fleets.